

## Undertaking to the Australian Competition and Consumer Commission

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Given under section 87B of the *Competition and  
Consumer Act 2010* (Cth) by **Healthscope Ltd**  
(ACN 144 840 639)

## **Contents**

|           |                                                                                            |           |
|-----------|--------------------------------------------------------------------------------------------|-----------|
| <b>1</b>  | <b>Person giving the Undertaking</b>                                                       | <b>3</b>  |
| <b>2</b>  | <b>Background</b>                                                                          | <b>3</b>  |
| <b>3</b>  | <b>Commencement of this Undertaking</b>                                                    | <b>5</b>  |
| <b>4</b>  | <b>Cessation of Ongoing Obligations</b>                                                    | <b>5</b>  |
| <b>5</b>  | <b>Divestiture of the Healthscope Divestiture Assets</b>                                   | <b>6</b>  |
| <b>6</b>  | <b>Process for approving a proposed purchaser</b>                                          | <b>7</b>  |
| <b>7</b>  | <b>Divestiture Assets Protection</b>                                                       | <b>7</b>  |
| <b>8</b>  | <b>Independent Audit</b>                                                                   | <b>9</b>  |
| <b>9</b>  | <b>Failure to divest the Healthscope Divestiture Assets within the Initial Sale Period</b> | <b>12</b> |
| <b>10</b> | <b>Notification of key dates and ACCC requests for information</b>                         | <b>16</b> |
| <b>11</b> | <b>Disclosure of this Undertaking</b>                                                      | <b>17</b> |
| <b>12</b> | <b>Obligation to procure</b>                                                               | <b>18</b> |
| <b>13</b> | <b>No Derogation</b>                                                                       | <b>18</b> |
| <b>14</b> | <b>Change of Control</b>                                                                   | <b>18</b> |
| <b>15</b> | <b>Costs</b>                                                                               | <b>18</b> |
| <b>16</b> | <b>Notices</b>                                                                             | <b>18</b> |
| <b>17</b> | <b>Defined terms and interpretation</b>                                                    | <b>19</b> |
|           | <b>Schedule 1 – Dictionary and interpretation</b>                                          | <b>21</b> |
| <b>1</b>  | <b>Dictionary</b>                                                                          | <b>21</b> |
| <b>2</b>  | <b>Interpretation</b>                                                                      | <b>23</b> |
|           | <b>Schedule 2 – Proposed Purchaser Notice Form</b>                                         | <b>25</b> |
|           | <b>Schedule 3 – Undertaking Appointments</b>                                               | <b>27</b> |
|           | <b>Schedule 4 – Healthscope Divestiture Assets</b>                                         | <b>30</b> |
|           | <b>Confidential Schedule 5</b>                                                             | <b>37</b> |

## 1 Person giving the Undertaking

- 1.1 This Undertaking is given to the Australian Competition and Consumer Commission (**ACCC**) by Healthscope Ltd (ACN 144 840 639) on behalf of itself and its subsidiaries (together referred to as **Healthscope** in this Undertaking).

## 2 Background

### Healthscope

- 2.1 Healthscope is an Australian private healthcare operator listed on the Australian Securities Exchange.
- 2.2 Healthscope operates private hospitals and medical centres in Australia, as well as pathology businesses in New Zealand, Singapore, Vietnam and Malaysia.
- 2.3 Until 2 February 2015, Healthscope provided pathology services in Queensland and in parts of northern New South Wales, including Tweed Heads, Murwillumbah and Kingscliff, where it collected specimens and delivered them to its laboratories in Queensland (**Healthscope Queensland pathology business**).
- 2.4 Healthscope continued to operate its remaining Australian pathology operations, in South Australia, Victoria, New South Wales and the Northern Territory, until it sold those operations to Crescent Capital Partners on 6 July 2015.

### Primary

- 2.5 Primary Health Care Limited (ACN 064 530 516) (**Primary**) is an Australian healthcare company listed on the Australian Securities Exchange.
- 2.6 Primary operates medical centres as well as providing pathology services, diagnostic imaging services, health technology solutions and private health insurance throughout Australia.

### The Transaction

- 2.7 On 17 December 2014, Healthscope entered into arrangements with Primary (the **Transaction**) pursuant to which:
- (a) Primary acquired certain assets from Healthscope in relation to Healthscope's Queensland pathology business, including through the grant, assignment or transfer of:
- (i) rights to non-hospital pathology collection centres and laboratories it previously occupied in Queensland, Tweed Heads (NSW), Murwillumbah (NSW) and Kingscliff (NSW), comprising rights to third party owned premises as well as premises owned by Healthscope;
  - (ii) rights to hospital related pathology collection centres and laboratories at private hospitals and associated hospital complexes owned by Healthscope in Queensland; and
  - (iii) property and inventory associated with the Healthscope Queensland pathology business,
- (the **Healthscope Assets**);
- (b) Primary and Healthscope entered into service level agreements for each hospital and medical centre owned or leased by Healthscope in Queensland;

- (c) Primary undertook to:
  - (i) offer employment to certain of Healthscope's former employees in Primary's Queensland pathology operations, which trade under the name QML Pathology; and
  - (ii) discontinue litigation against Healthscope and to resolve other non-litigious disputes with Healthscope.

2.8 The Transaction completed on 2 February 2015.

2.9 Healthscope retained certain assets relating to its former Queensland pathology business, including:

- (a) property comprising information technology equipment, courier cars and laboratory equipment; and
  - (b) the lease for its Eight Mile Plains pathology laboratory,
- (the **Retained Assets**).

#### **The ACCC's review**

- 2.10 Neither Primary nor Healthscope informed the ACCC of the Transaction. The ACCC became aware of the Transaction on 3 February 2015. On 13 February 2015, the ACCC commenced its public review of Primary's acquisition of the Healthscope Assets under its informal merger review process.
- 2.11 The ACCC undertook market inquiries and considered information provided by Primary and Healthscope, industry participants and others. The purpose of the ACCC's inquiries was to assess whether Primary's acquisition of the Healthscope Assets would have the effect, or be likely to have the effect, of substantially lessening competition in any market in Australia in contravention of section 45 and/or 50 of the Act.

#### **Healthscope's previous undertaking**

- 2.12 Healthscope offered an undertaking to the ACCC intended to maintain the Retained Assets so that they could be separately and readily identified and accounted for, pending the conclusion of the ACCC's investigation and/or any order of the court (**Previous Undertaking**). Healthscope provided the ACCC with the Previous Undertaking on 5 February 2015. In accepting this Undertaking the ACCC released Healthscope from the Previous Undertaking on the Commencement Date of this Undertaking. Healthscope continues to have obligations regarding the protection of the Healthscope Divestiture Assets pursuant to clause 7 of this Undertaking.

#### **The ACCC's competition concerns**

- 2.13 As a result of its investigation, the ACCC was concerned that the removal of the Healthscope Queensland pathology business from the relevant market/s through Primary's acquisition of the Healthscope Assets would be likely to have the effect of substantially lessening competition in one or more markets in contravention of section 50 of the Act.

#### **The Undertaking remedy**

- 2.14 Healthscope does not consider that the acquisition of the Healthscope Assets would be likely to substantially lessen competition in any market. However, to address the ACCC's competition

concerns referred to in clause 2.13, Healthscope has offered this Undertaking pursuant to section 87B of the Act.

2.15 Healthscope and Primary each give separate undertakings to the ACCC pursuant to section 87B to divest certain assets to an Approved Purchaser, specifically:

- (a) the Primary Divestiture Assets (in respect of Primary) as set out in the Primary Undertaking; and
- (b) the Healthscope Divestiture Assets (in respect of Healthscope) as defined in Schedule 1 of this Undertaking.

2.16 The objective of this Undertaking is to address the ACCC's competition concerns as set out in clause 2.13 above. This Undertaking aims to achieve this objective by placing obligations on Healthscope to:

- (a) ensure that the Healthscope Divestiture Assets are sold to an Approved Purchaser;
- (b) create a viable, effective, stand-alone, independent and long term competitor in the supply of community pathology services in Queensland;
- (c) ensure that the Approved Purchaser has all the necessary associated assets and rights to enable it to compete effectively with Primary in the supply of community pathology services in Queensland;
- (d) ensure that the Healthscope Divestiture Assets are maintained and separately and readily accounted for prior to divestiture, through the incorporation of similar obligations to those assumed by Healthscope in its Previous Undertaking; and
- (e) provide for the effective oversight of Healthscope's compliance with this Undertaking.

### **3 Commencement of this Undertaking**

3.1 This Undertaking comes into effect when:

- (a) this Undertaking is executed by Healthscope; and
  - (b) this Undertaking so executed is accepted by the ACCC
- (the **Commencement Date**).

### **4 Cessation of Ongoing Obligations**

#### **Withdrawal**

4.1 Healthscope may request withdrawal of this Undertaking pursuant to section 87B of the Act at any time. This Undertaking is taken to be withdrawn on the date the ACCC consents in writing to that withdrawal.

#### **Revocation**

4.2 The ACCC may, at any time, revoke its acceptance of this Undertaking if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

#### **Waiver**

- 4.3 The ACCC may, at any time, expressly waive in writing any of the obligations contained in this Undertaking or extend the date by which any such obligation is to be satisfied.

#### **Survival**

- 4.4 Unless and until this Undertaking is withdrawn in accordance with clause 4.1, clauses 1, 2, 3, 4, 8, 10, 11, 12, 13, 14, 15 and 16 survive completion of the obligations in clauses 5, 6, 7, 9, Schedule 4 and Confidential Schedule 5.

### **5 Divestiture of the Healthscope Divestiture Assets**

#### **Divestiture**

- 5.1 Healthscope must, in accordance with this Undertaking, divest, or cause the divestiture of the Healthscope Divestiture Assets (or any part thereof as requested by the Approved Purchaser and approved by the ACCC) only to an Approved Purchaser.
- 5.2 Healthscope must divest, or cause the divestiture of, the Healthscope Divestiture Assets (or any part thereof as requested by the Approved Purchaser and approved by the ACCC) by:
- (a) the sale, assignment, transfer, sub-lease and/or licence of the relevant assets in Schedule 4 to the Approved Purchaser within the Initial Sale Period, otherwise clause 9 applies; and
  - (b) the transfer or grant to the Approved Purchaser of all Consents pursuant to clauses 5.3 to 5.4.

#### **Consents**

- 5.3 Healthscope must:
- (a) obtain or assist the Approved Purchaser to obtain as expeditiously as possible, all Consents as required before completion of the divestiture of the Healthscope Divestiture Assets;
  - (b) comply with all requirements necessary to obtain any Consents, including by promptly providing all information necessary for the Consents to be given;
  - (c) act in good faith in its negotiations with the Approved Purchaser in relation to obtaining any Consents; and
  - (d) promptly pay the costs and expenses of any third party reasonably incurred in providing the Consents.
- 5.4 If, seven Business Days before completion of the divestiture of the Healthscope Divestiture Assets (or any part thereof as requested by the Approved Purchaser and approved by the ACCC), the Approved Purchaser fails to obtain or is unable to obtain one or more Consents, then Healthscope must:
- (a) immediately provide to the ACCC in writing details of the:
    - (i) Consents that have not been obtained;
    - (ii) reasons why the Consents have not been obtained; and
    - (iii) information or material required to obtain the Consents.
  - (b) continue to do everything in its power to satisfy clause 5.3 as soon as possible after the completion of the divestiture of the Healthscope Divestiture Assets (and until such time as clause 5.3 is satisfied).

- 5.5 Even if Healthscope has complied with clause 5.3 and 5.4, it remains a breach of this Undertaking if Healthscope is unable to effect the divestiture of the Healthscope Divestiture Assets by reason of a failure to obtain Consents.

#### **Consents required for divestiture of the Primary Divestiture Assets**

- 5.6 Healthscope must:
- (a) consent to the assignment by Primary to the Approved Purchaser of any Medical Centre Sublease and/or Service Level Agreement (as defined in the Primary Undertaking) or enter into a new Medical Centre Sublease and/or Service Level Agreement with the Approved Purchaser; and
  - (b) in relation to any Medical Centre Sublease where the head lessor is not Healthscope or one of its Related Bodies Corporate, and the consent of the head lessor is required, procure the consent of the relevant head lessor to the assignment to the relevant Medical Centre Sublease to the Approved Purchaser.

### **6 Process for approving a proposed purchaser**

#### **Approval of Medlab Pathology Pty Ltd as the Approved Purchaser**

- 6.1 At the time this Undertaking was accepted, the ACCC also considered information of the type required in a Proposed Purchaser Notice and approved Medlab Pathology Pty Ltd (**Medlab**) as the Approved Purchaser of the Healthscope Divestiture Assets.
- 6.2 ACCC approval of Medlab as the Approved Purchaser of the Healthscope Divestiture Assets included approval of the Deed of Transfer of Assets as the Approved Sale and Purchase Agreement.
- 6.3 The ACCC may revoke an Approved Purchaser's status as the Approved Purchaser if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.

#### **Provision of a notice for a Proposed Purchaser**

- 6.4 To seek ACCC approval for another Proposed Purchaser, Healthscope must provide the ACCC with a notice in the form prescribed in Schedule 2 to this Undertaking (**Proposed Purchaser Notice**), including a draft sale and purchase agreement. The Proposed Purchaser Notice must be provided to the ACCC at least 20 Business Days prior to the end of the Initial Sale Period.
- 6.5 In deciding whether to approve or not approve a Proposed Purchaser, which includes approving or not approving a draft sale and purchase agreement, the ACCC may have regard to the factors that are required in the Proposed Purchaser Notice.

### **7 Divestiture Assets Protection**

#### **Protection of the Healthscope Divestiture Assets**

- 7.1 From the Commencement Date, Healthscope must not sell or transfer any of the Healthscope Divestiture Assets, including sell, transfer or grant any interest in those assets other than to an Approved Purchaser.

**Healthscope's obligations in relation to the Healthscope Divestiture Assets prior to completion of divestiture**

- 7.2 Without limiting this clause 7, Healthscope must, from the Commencement Date until completion of the divestiture of the Healthscope Divestiture Assets, take all steps available to it to:
- (a) ensure that the Healthscope Divestiture Assets are managed and operated in a way that preserves the use and economic viability of the Healthscope Divestiture Assets at the Previous Undertaking Date;
  - (b) continue to provide access to working capital and sources of credit for the Healthscope Divestiture Assets in a manner which is consistent with the financing of the Healthscope Divestiture Assets at the Previous Undertaking Date;
  - (c) continue to provide administrative and technical support for the Healthscope Divestiture Assets in a manner which is consistent with the operation of the Healthscope Divestiture Assets at the Previous Undertaking Date;
  - (d) continue existing Agreements relating to the Healthscope Divestiture Assets with customers, suppliers and/or other third parties that are in place at the Previous Undertaking Date; and
  - (e) maintain the standard and quality of those assets which form part of the Healthscope Divestiture Assets as at the Previous Undertaking Date.

**Confidential Information**

- 7.3 Subject to clause 7.4, Healthscope must not, at any time from the Commencement Date, use or disclose any confidential information about the Healthscope Divestiture Assets gained through:
- (a) ownership and/or management of the Healthscope Divestiture Assets; or
  - (b) fulfilling any obligations pursuant to this Undertaking.
- 7.4 Clause 7.3 does not apply to information that Healthscope requires to:
- (a) comply with legal and regulatory obligations including obligations relating to taxation, accounting, financial reporting or stock exchange disclosure requirements; or
  - (b) carry out its obligations pursuant to this Undertaking;
- provided such information is only used for that purpose and is only disclosed to those officers, employees, contractors and advisers of Healthscope who need to know the information to carry out the permitted purpose.



## **8 Independent Audit**

### **Obligation to appoint an Approved Independent Auditor**

- 8.1 Healthscope must appoint and maintain an Approved Independent Auditor to audit and report upon Healthscope's compliance with this Undertaking.

### **Process for approving a Proposed Independent Auditor**

- 8.2 Within two Business Days of the Commencement Date, Healthscope must provide the ACCC with a notice for a Proposed Independent Auditor in the form prescribed in Schedule 3 to this Undertaking (**Proposed Independent Auditor Notice**), including draft terms of appointment and a draft audit plan.
- 8.3 If clauses 8.16, 8.17 or 8.18 apply, Healthscope must provide the ACCC with a Proposed Independent Auditor Notice within five Business Days after the relevant event occurs, otherwise clause 8.8 applies.
- 8.4 The ACCC shall have the discretion to approve or reject in writing the Proposed Independent Auditor identified in the Proposed Independent Auditor Notice.
- 8.5 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Independent Auditor, the factors to which the ACCC may have regard include whether the:
- (a) person named in the Proposed Independent Auditor Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Independent Auditor;
  - (b) person named in the Proposed Independent Auditor Notice or identified by the ACCC is sufficiently independent of Healthscope;
  - (c) draft terms of appointment and the draft audit plan are consistent with this Undertaking; and
  - (d) draft terms of appointment and the draft audit plan are otherwise acceptable to the ACCC.

### **Appointment of the Approved Independent Auditor**

- 8.6 Within two Business Days of receiving a written notice from the ACCC of its approval of a Proposed Independent Auditor, the draft terms of appointment and draft audit plan, Healthscope must:
- (a) appoint the person approved by the ACCC as the Approved Independent Auditor on the Approved Terms of Appointment; and
  - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

### **Failure to appoint**

- 8.7 If the Approved Independent Auditor has not been appointed:
- (a) within 10 Business Days of the Commencement Date;
  - (b) within 15 Business Days after the Approved Independent Auditor resigns or otherwise ceases to act as the Approved Independent Manager pursuant to clause 8.16, 8.17, or 8.18; or
  - (c) if the ACCC has not received a Proposed Independent Auditor Notice pursuant to clause 8.3;

then clause 8.8 applies.

8.8 If clause 8.7 applies, the ACCC at its absolute discretion may:

- (a) identify and approve a person as the Approved Independent Auditor, including approving the draft terms of appointment and draft audit plan; and/or
- (b) direct Healthscope to appoint a person who the ACCC has deemed is an Approved Independent Auditor.

#### **Obligations and powers of the Approved Independent Auditor**

8.9 Healthscope must procure that any proposed terms of appointment for the Approved Independent Auditor include obligations on the Approved Independent Auditor to:

- (a) maintain his or her independence from Healthscope, apart from appointment to the role of Approved Independent Auditor, including not form any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Healthscope for the period of his or her appointment;
- (b) conduct compliance auditing according to the Approved Audit Plan;
- (c) provide the following reports directly to the ACCC:
  - (i) a scheduled written Audit Report as described in clause 8.11; and
  - (ii) an immediate report of any issues that arise in relation to the performance of his or her functions as Approved Independent Auditor or in relation to compliance with this Undertaking by any person named in this Undertaking; and
- (d) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Independent Auditor under this Undertaking.

8.10 Healthscope must procure that any proposed terms of appointment for the Approved Independent Auditor provide the Approved Independent Auditor with the authority to:

- (a) access the facilities, sites or operations of the Healthscope Divestiture Assets and Healthscope's other businesses as required by the Approved Independent Auditor;
- (b) access any information or documents that the Approved Independent Auditor considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC; and
- (c) engage any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor.

#### **Compliance Audit**

8.11 The Approved Independent Auditor must conduct an audit and prepare a detailed report (**Audit Report**) that includes:

- (a) the Approved Independent Auditor's procedures in conducting the audit, or any change to audit procedures and processes since the previous Audit Report;
- (b) a full audit of Healthscope's compliance with this Undertaking;
- (c) identification of any areas of uncertainty or ambiguity in the Auditor's interpretation of any obligations contained in this Undertaking;
- (d) all of the reasons for the conclusions reached in the Audit Report;
- (e) any qualifications made by the Approved Independent Auditor in forming his or her views;

- (f) any recommendations by the Approved Independent Auditor to improve:
    - (i) the Approved Audit Plan;
    - (ii) the integrity of the auditing process;
    - (iii) Healthscope's processes or reporting systems in relation to compliance with this Undertaking; and
    - (iv) Healthscope's compliance with this Undertaking; and
  - (g) the implementation and outcome of any prior recommendations by the Approved Independent Auditor.
- 8.12 The Approved Independent Auditor is to provide an Audit Report to the ACCC and Healthscope at the following times:
- (a) within 30 Business Days after the Commencement Date, at which time the Audit Report is to include the results of the initial audit and any recommended changes to the Approved Audit Plan, including the Approved Independent Auditor's proposed procedures and processes for conducting the audit (**Establishment Audit**);
  - (b) in the event that the divestiture of the Healthscope Divestiture Assets is not completed before the Establishment Audit, every month from the date of the Establishment Audit until one month after the divestiture of the Healthscope Divestiture Assets is completed.
- 8.13 Healthscope must implement any recommendations made by the Approved Independent Auditor in Audit Reports, and notify the ACCC of the implementation of the recommendations, within 10 Business Days after receiving the Audit Report or such other period as agreed in writing with the ACCC.
- 8.14 Healthscope must comply with any direction of the ACCC in relation to matters arising from the Audit Report within 10 Business Days after being so directed (or such other period as agreed in writing with the ACCC).

#### **Healthscope's obligations in relation to the Approved Independent Auditor**

- 8.15 Without limiting its obligations in this Undertaking, Healthscope must:
- (a) comply with and enforce the Approved Terms of Appointment for the Approved Independent Auditor;
  - (b) maintain and fund the Approved Independent Auditor to carry out his or her functions including:
    - (i) indemnifying the Approved Independent Auditor for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Independent Auditor of his or her functions as the Approved Independent Auditor except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Independent Auditor;
    - (ii) providing and paying for any external expertise, assistance or advice required by the Approved Independent Auditor to perform his or her functions as the Approved Independent Auditor; and
  - (c) not interfere with, or otherwise hinder, the Approved Independent Auditor's ability to carry out his or her functions as the Approved Independent Auditor, including:
    - (i) directing Healthscope personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 8;

- (ii) providing access to the facilities, sites or operations of the Healthscope Divestiture Assets and Healthscope's other businesses as required by the Approved Independent Auditor;
- (iii) providing to the Approved Independent Auditor any information or documents he or she considers necessary for carrying out his or her functions as the Approved Independent Auditor or for reporting to or otherwise advising the ACCC;
- (iv) not requesting any information relating to the compliance audit from the Approved Independent Auditor without such a request having been approved by the ACCC; and
- (v) not appointing the Approved Independent Auditor, or have any Agreements with the Approved Independent Auditor, to utilise the Approved Independent Auditor's services for anything other than compliance with this Undertaking until at least 12 months after the Approved Independent Auditor ceases to act in the role of the Approved Independent Auditor.

#### **Resignation, revocation or termination of the Approved Independent Auditor**

- 8.16 Healthscope must immediately notify the ACCC in the event that the Approved Independent Auditor resigns or otherwise stops acting as the Approved Independent Auditor.
- 8.17 The ACCC may revoke an Approved Independent Auditor's status as the Approved Independent Auditor if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 8.18 The ACCC may approve any proposal by, or alternatively may direct, Healthscope to terminate the appointment of the Approved Independent Auditor if in the ACCC's view the Approved Independent Auditor acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

### **9 Failure to divest the Healthscope Divestiture Assets within the Initial Sale Period**

#### **Divestiture of the Unsold Assets**

- 9.1 In the event that the divestiture of the Healthscope Divestiture Assets to the Approved Purchaser is not completed by the end of the Initial Sale Period, the assets set out in Schedule 4 of this Undertaking become unsold assets (**Unsold Assets**) and the provisions of this clause 9 apply.

#### **Obligation to appoint an Approved Divestiture Agent**

- 9.2 From the end of the Initial Sale Period, Healthscope must appoint and maintain an Approved Divestiture Agent to effect the divestiture of the Unsold Assets.

### **Process for approving a Proposed Divestiture Agent**

- 9.3 At least 15 Business Days prior to the end of the Initial Sale Period, if the divestiture of the Healthscope Divestiture Assets has not been completed, Healthscope must provide the ACCC with a notice for a Proposed Divestiture Agent in the form of Schedule 3 to this Undertaking (**Proposed Divestiture Agent Notice**) including draft terms of appointment, a draft asset sale agreement, and draft marketing and sale plan.
- 9.4 If clauses 9.14, 9.15 or 9.16 apply, Healthscope must provide the ACCC with a Proposed Divestiture Agent Notice within five Business Days after the relevant event occurs, otherwise clause 9.9 applies.
- 9.5 The ACCC shall have the discretion to approve or reject in writing the Proposed Divestiture Agent.
- 9.6 Without limiting the ACCC's discretion, in deciding whether to approve a Proposed Divestiture Agent, the factors to which the ACCC may have regard include whether the:
- (a) person named in Proposed Divestiture Agent Notice or identified by the ACCC has the qualifications and experience necessary to carry out the functions of the Approved Divestiture Agent;
  - (b) person named in the Proposed Divestiture Agent Notice or identified by the ACCC is sufficiently independent of Healthscope;
  - (c) draft terms of appointment, draft asset sale agreement and draft marketing and sale plan are consistent with this Undertaking; and
  - (d) draft terms of appointment, draft asset sale agreement and draft marketing and sale plan are otherwise acceptable to the ACCC.

### **Appointment of the Approved Divestiture Agent**

- 9.7 After receiving written notice from the ACCC of its approval of the Proposed Divestiture Agent, the draft terms of appointment, draft asset sale agreement and draft marketing and sale plan, Healthscope must within two Business Days:
- (a) appoint the person approved by the ACCC as the Approved Divestiture Agent on the Approved Terms of Appointment; and
  - (b) forward to the ACCC a copy of the executed Approved Terms of Appointment.

### **Failure to appoint**

- 9.8 If the Approved Divestiture Agent has not been appointed:
- (a) within 10 Business Days after the Healthscope Divestiture Assets become Unsold Assets;
  - (b) within 15 Business Days after the Approved Divestiture Agent resigns or otherwise ceases to act pursuant to clauses 9.14, 9.15 or 9.16; or
  - (c) if the ACCC has not received a Proposed Divestiture Agent Notice pursuant to clause 9.4;
- then clause 9.9 applies.

9.9 If clause 9.8 applies, the ACCC may, at its absolute discretion:

- (a) identify and approve a person as the Approved Divestiture Agent, includes approving the draft terms of appointment of the Approved Divestiture Agent, draft asset sale agreement and draft marketing and sale plan; and/or
- (b) direct Healthscope to appoint a person who the ACCC has deemed is an Approved Divestiture Agent.

**Obligations and powers of the Approved Divestiture Agent**

9.10 Healthscope must procure that any proposed terms of appointment for the Approved Divestiture Agent include obligations on the Approved Independent Divestiture Agent to:

- (a) divest the Unsold Assets only to an Approved Purchaser, at no minimum price;
- (b) maintain his or her independence from Healthscope, apart from appointment to the role of Approved Divestiture Agent, including not form any relationship of the types described in paragraph 2(c) of Schedule 3 to this Undertaking with Healthscope for the period of his or her appointment;
- (c) not use any confidential information gained through the divestiture of the Unsold Assets other than for performing his or her functions as Approved Divestiture Agent;
- (d) follow the Approved Marketing and Sale Plan;
- (e) use his or her best endeavours to enter into a binding agreement for the divestiture of the Unsold Assets as quickly as possible using the Approved Asset Sale Agreement;
- (f) co-operate with the requests of any Approved Independent Auditor appointed pursuant to this Undertaking;
- (g) every 30 Business Days following appointment of the Approved Divestiture Agent, provide written reports directly to the ACCC which include:
  - (i) information regarding the implementation of the Approved Asset Sale Agreement and the Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
  - (ii) information regarding any suggested changes to any Approved Marketing and Sale Plan including any previous changes approved by the ACCC;
  - (iii) an account and explanation of all disbursements, fees and charges incurred by the Approved Divestiture Agent in undertaking his or her duties by month and to the date of the report;
  - (iv) a schedule of agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 9.11(d));
  - (v) the efforts made to sell the Unsold Assets;
  - (vi) the identity of any advisers engaged;
  - (vii) the identity of any persons expressing interest in the Unsold Assets; and
  - (viii) any other information required by the ACCC.
- (h) within 30 Business Days after the completion of the divestiture of the Unsold Assets, provide a written report directly to the ACCC which includes a final accounting of:

- (i) any moneys derived from the divestiture of the Unsold Assets;
    - (ii) all disbursements, fees and charges incurred by the Approved Divestiture Agent in fulfilling his or her duties; and
    - (iii) all agreed fees of the Approved Divestiture Agent (including the fees of any adviser appointed under clause 9.11(d);
  - (i) immediately inform the ACCC of:
    - (i) any issues that arise in relation to the implementation of the Approved Sale and Purchase Agreement and any Approved Marketing and Sale Plan;
    - (ii) non-compliance with this Undertaking by any person named in this Undertaking;
    - (iii) any offers for the Unsold Assets;
  - (j) accept any offer for the Unsold Assets upon instruction from Healthscope given in accordance with clause 9.13(d); and
  - (k) follow any direction given to him or her by the ACCC in relation to the performance of his or her functions as Approved Divestiture Agent pursuant to this Undertaking.
- 9.11 Healthscope must procure that any proposed terms of appointment for the Approved Divestiture Agent contain an irrevocable grant of power of attorney conferring all necessary power and authority on the Approved Divestiture Agent to:
- (a) negotiate with purchasers to divest the Unsold Assets on terms considered by the Approved Divestiture Agent in his or her sole discretion to be consistent with this Undertaking and the Approved Marketing and Sale Plan;
  - (b) execute any agreements with the Approved Purchaser required pursuant to clause 6.5;
  - (c) upon instruction pursuant to clause 9.13(d), complete the divestiture of the Unsold Assets to the Approved Purchaser in accordance with the Approved Asset Sale Agreement; and
  - (d) engage any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent.
- 9.12 Any irrevocable power of attorney granted pursuant to clause 9.11 will end upon resignation or termination of the Approved Divestiture Agent in accordance with clauses 9.14, 9.15 and 9.16, or in the event that the Unsold Assets are divested in accordance with this Undertaking.

#### **Healthscope's obligations in relation to the Approved Divestiture Agent**

- 9.13 Without limiting its obligations in this Undertaking, Healthscope must from the end of the Initial Sale Period:
- (a) comply with and enforce the Approved Terms of Appointment for the Approved Divestiture Agent;
  - (b) maintain and fund the Approved Divestiture Agent to carry out his or her functions; including:
    - (i) indemnifying the Approved Divestiture Agent for any expenses, loss, claim or damage arising directly or indirectly from the performance by the Approved Divestiture Agent of his or her functions as the Approved Divestiture Agent except where such expenses, loss, claim or damage arises out of the gross negligence, fraud, misconduct or breach of duty by the Approved Divestiture Agent;

- (ii) providing and paying for any external expertise, assistance or advice required by the Approved Divestiture Agent to perform his or her functions as the Approved Divestiture Agent;
  - (iii) paying such fees as are agreed between the Approved Divestiture Agent and Healthscope (but not fees contingent on the price to be obtained for the Unsold Assets); and
  - (iv) if an agreement as to fees cannot be reached between the Approved Divestiture Agent and Healthscope within 15 Business Days after the end of the Initial Sale Period, Healthscope agrees to pay such fees as are directed by the ACCC;
- (c) not interfere with, or otherwise hinder, the Approved Divestiture Agent's ability to carry out his or her functions as the Approved Divestiture Agent, including:
- (i) directing its personnel, including directors, contractors, managers, officers, employees and agents, to act in accordance with this clause 9;
  - (ii) providing access to the facilities, sites or operations of the Unsold Assets as required by the Approved Divestiture Agent; and
  - (iii) providing to the Approved Divestiture Agent any information, documents or other assistance he or she considers necessary for carrying out his or her functions as the Approved Divestiture Agent or for reporting to or otherwise advising the ACCC;
- (d) within three Business Days after receiving notice from the ACCC of its decision pursuant to clause 6.5, Healthscope must instruct the Approved Divestiture Agent to complete the divestiture of the Unsold Assets to the Approved Purchaser in accordance with the documents approved by the ACCC pursuant to clause 6.5; and
- (e) other than in accordance with clause 9.13(d) of this Undertaking, not instruct the Approved Divestiture Agent to divest the Unsold Assets.

#### **Resignation, revocation or termination of the Approved Divestiture Agent**

- 9.14 Healthscope must immediately notify the ACCC in the event that an Approved Divestiture Agent resigns or otherwise stops acting as an Approved Divestiture Agent before the completion of the divestiture of the Unsold Assets.
- 9.15 The ACCC may revoke an Approved Divestiture Agent's status as the Approved Divestiture Agent if the ACCC becomes aware that any information provided to it was incorrect, inaccurate or misleading.
- 9.16 The ACCC may approve any proposal by, or alternatively may direct, Healthscope to terminate an Approved Divestiture Agent if in the ACCC's view the Approved Divestiture Agent acts inconsistently with the provisions of this Undertaking or the Approved Terms of Appointment.

#### **10 Notification of key dates and ACCC requests for information**

- 10.1 Healthscope must notify the ACCC in writing of:
- (a) the anticipated date of the completion of the divestiture of the Healthscope Divestiture Assets, at least five Business Days before that date; and
  - (b) the occurrence of the completion of the divestiture of the Healthscope Divestiture Assets, within one Business Day of that date.



- 10.2 The ACCC may direct Healthscope in respect of its compliance with this Undertaking to, and Healthscope must:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
  - (b) produce documents and materials to the ACCC within Healthscope's custody, power or control in the time and in the form requested by the ACCC; and/or
  - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 10.3 Any direction made by the ACCC under clause 10.2 will be notified to Healthscope, in accordance with clause 16.2.
- 10.4 In respect of Healthscope's compliance with this Undertaking or an Undertaking Appointment's compliance with its Approved Terms of Appointment, the ACCC may request any Undertaking Appointment to:
- (a) furnish information to the ACCC in the time and in the form requested by the ACCC;
  - (b) produce documents and materials to the ACCC within the Undertaking Appointment's custody, power or control in the time and in the form requested by the ACCC; and/or
  - (c) attend the ACCC at a time and place appointed by the ACCC to answer any questions the ACCC (its Commissioners, its staff or its agents) may have.
- 10.5 Healthscope will use its best endeavours to ensure that an Undertaking Appointment complies with any request from the ACCC in accordance with clause 10.4.
- 10.6 Information furnished, documents and material produced or information given in response to any request or direction from the ACCC under this clause 10 may be used by the ACCC for any purpose consistent with the exercise of its statutory duties.
- 10.7 The ACCC may in its discretion to be exercised in good faith:
- (a) advise any Undertaking Appointment of any request made by it under this clause 10; and/or
  - (b) provide copies to any Undertaking Appointment of any information furnished, documents and material produced or information given to it under this clause 10.
- 10.8 Nothing in this clause 10 requires the provision of information or documents in respect of which Healthscope has a claim of legal professional or other privilege.
- 11 Disclosure of this Undertaking**
- 11.1 Healthscope and the ACCC agree that Confidential Schedule 5 will remain confidential until after the completion of the divestiture of the Healthscope Divestiture Assets.
- 11.2 Healthscope acknowledges that the ACCC may provide each Undertaking Appointment with a copy of this Undertaking which includes unredacted versions of Confidential Schedule 5.
- 11.3 Healthscope acknowledges that the ACCC may, subject to clause 11.1:
- (a) make this Undertaking publicly available;
  - (b) publish this Undertaking on its Public Section 87B Undertakings Register and Public Mergers Register; and
  - (c) from time to time publicly refer to this Undertaking.

11.4 Nothing in clause 11.1 or the confidential parts of this Undertaking referred to in clause 11.1 prevents the ACCC from disclosing such information as is:

- (a) required by law;
- (b) permitted by section 155AAA of the Act;
- (c) necessary for the purpose of enforcement action under section 87B of the Act; or
- (d) necessary for the purpose of making such market inquiries as the ACCC thinks fit to assess the impact on competition arising in connection with this Undertaking.

11.5 Nothing in clause 11.1 or the confidential parts of this Undertaking referred to in clause 11.1 prevents the ACCC from using the information contained in this Undertaking for any purpose consistent with its statutory functions and powers.

## **12 Obligation to procure**

12.1 Where the performance of an obligation under this Undertaking requires a Related Body Corporate of Healthscope to take or refrain from taking some action, Healthscope will procure that Related Body Corporate to take or refrain from taking that action.

## **13 No Derogation**

13.1 This Undertaking does not prevent the ACCC from taking enforcement action at any time whether during or after the period of this Undertaking in respect of any breach by Healthscope of any term of this Undertaking.

13.2 Nothing in this Undertaking is intended to restrict the right of the ACCC to take action under the Act for penalties or other remedies in the event that Healthscope does not fully implement and/or perform its obligations under this Undertaking or in any other event where the ACCC decides to take action under the Act for penalties or other remedies.

## **14 Change of Control**

14.1 In the event that a Change of Control is reasonably expected to occur, Healthscope must:

- (a) notify the ACCC of this expectation as soon as practicable; and
- (b) only implement a Change of Control to another person or entity if that person or entity has given a section 87B undertaking to the ACCC that requires it to comply with the same obligations as are imposed on Healthscope pursuant to this Undertaking, or on terms that are otherwise acceptable to the ACCC, unless the ACCC has notified Healthscope in writing that a section 87B undertaking under this clause is not required.

## **15 Costs**

15.1 Healthscope must pay all of its own costs incurred in relation to this Undertaking.

## **16 Notices**

### **Giving Notices**

16.1 Any notice or communication to the ACCC pursuant to this Undertaking must be sent to:

Email address: [mergers@accc.gov.au](mailto:mergers@accc.gov.au)

Attention: Executive General Manager

Merger and Authorisation Review Division

With a copy sent to: [mergersucu@accc.gov.au](mailto:mergersucu@accc.gov.au)

Attention: Director, Undertakings Compliance Unit

Coordination and Strategy Branch

Merger and Authorisation Review Division

16.2 Any notice or communication to Healthscope pursuant to this Undertaking must be sent to:

Name: Allens

Address: Level 28, Deutsche Bank Place

126 Phillip St

Sydney NSW 2000

Email Address: [Fiona.Crosbie@allens.com.au](mailto:Fiona.Crosbie@allens.com.au)

Fax number: (02) 9230 5333

Attention: Fiona Crosbie

16.3 If sent by post, notices are taken to be received three Business Days after posting (or seven Business Days after posting if sent to or from a place outside Australia).

16.4 If sent by email, notices are taken to be received at the time shown in the email as the time the email was sent.

#### **Change of contact details**

16.5 Healthscope must notify the ACCC of a change to its contact details within three Business Days.

16.6 Any notice or communication will be sent to the most recently advised contact details and subject to clauses 16.3 and 16.4, will be taken to be received.

### **17 Defined terms and interpretation**

#### **Definitions in the Dictionary**

17.1 A term or expression starting with a capital letter:

(a) which is defined in the Dictionary in Part 1 of Schedule 1 (Dictionary), has the meaning given to it in the Dictionary; or

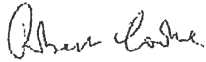
(b) which is defined in the Corporations Act, but is not defined in the Dictionary, has the meaning given to it in the Corporations Act.

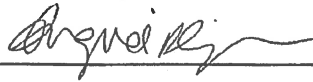
#### **Interpretation**

17.2 Part 2 of Schedule 1 sets out rules of interpretation for this Undertaking.

### Executed as an Undertaking

Executed by Healthscope Ltd (ACN 144 840 639) pursuant to section 127(1) of the Corporations Act 2001 by:





Signature of director

Signature of a ~~director~~/company secretary

ROBERT COOKE

INGRID PLAYER

Name of director (print)

Name of ~~director~~/company secretary (print)

Date 9 June 2016

Date 9 June 2016

Accepted by the Australian Competition and Consumer Commission pursuant to section 87B of the Competition and Consumer Act 2010 on: 15 JUNE 2016

And signed on behalf of the Commission:



Chairman

ROD SIMS

Date

15 June 2016

## Schedule 1 – Dictionary and interpretation

### 1 Dictionary

**ACCC** means the Australian Competition and Consumer Commission.

**Act** means the *Competition and Consumer Act 2010* (Cth).

**Agreements** means any contract, arrangement or understanding, including any contract, arrangement or understanding to renew, amend, vary or extend any contract, arrangement or understanding.

**Approved Asset Sale Agreement** means the standard form contract for the divestiture of the Unsold Assets which has been approved by the ACCC in accordance with the terms of this Undertaking.

**Approved Audit Plan** means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Independent Auditor will audit and report upon compliance with this Undertaking.

**Approved Divestiture Agent** means the person approved by the ACCC and appointed under clause 9 of this Undertaking.

**Approved Independent Auditor** means the person approved by the ACCC and appointed under clause 8 of this Undertaking.

**Approved Purchaser** means the person approved by the ACCC under clause 6 of this Undertaking, or any other purchaser for the Healthscope Divestiture Assets who has been approved by the ACCC.

**Approved Marketing and Sale Plan** means the plan approved by the ACCC in accordance with the terms of this Undertaking, by which the Approved Divestiture Agent will market and effect the divestiture of the Unsold Assets.

**Approved Sale and Purchase Agreement** means the contract approved by the ACCC in accordance with the terms of this Undertaking, by which Healthscope will divest the Healthscope Divestiture Assets (or any of the assets selected by the Approved Purchaser and approved by the ACCC) to the Approved Purchaser and the Approved Purchaser will acquire the Healthscope Divestiture Assets (or any of the relevant assets) from Healthscope.

**Approved Terms of Appointment** means the terms of appointment for an Undertaking Appointment, as approved by the ACCC in accordance with this Undertaking.

**Associated Entity** has the meaning given by section 50AAA of the Corporations Act.

**Audit Report** has the meaning given to it in clause 8.11 of this Undertaking.

**Business Day** means a day other than a Saturday or Sunday on which banks are open for business generally in Queensland.

**Change of Control** means the assignment or other transfer of the legal or beneficial ownership of some or all of the share capital of Healthscope to any other person or entity, or the sale or transfer of any assets necessary, or which may be necessary, to enable compliance with this Undertaking in its entirety.

**Commencement Date** means the date described in clause 3.1 of this Undertaking.

**Consents** means any Government Consents or Third Party Consents.

**Corporations Act** means the *Corporations Act 2001* (Cth).

**Establishment Audit** has the meaning given to it in clause 8.12(a) of this Undertaking.

**Government Consents** means any consents from any government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approval or contracts required for the operation of the Healthscope Divestiture Assets.

**Healthscope** means the entity referred to in clause 1.1 of this Undertaking.

**Healthscope Divestiture Assets** means the assets set out in Schedule 4 or if the Approved Purchaser only requires a subset of those assets which it has notified to the ACCC and Healthscope, that subset of assets.

**Initial Sale Period** is defined Confidential Schedule 5 to this Undertaking.

**Previous Undertaking** means the undertaking provided by Healthscope on 5 February 2015 as referred to in clause 2.12.

**Previous Undertaking Date** means 5 February 2015, being the date that Healthscope gave the ACCC the Previous Undertaking.

**Primary** means the entity referred to in clause 2.5.

**Primary Divestiture Assets** means the assets to be divested pursuant to the Primary Undertaking.

**Primary Undertaking** is the undertaking given by Primary to the ACCC pursuant to section 87B of the Act in relation to the Transaction.

**Proposed Divestiture Agent** means a person named in a Proposed Divestiture Notice.

**Proposed Divestiture Agent Notice** has the meaning given to it in clause 9.3 of this Undertaking.

**Proposed Independent Auditor** means a person named in a Proposed Independent Auditor Notice.

**Proposed Independent Auditor Notice** has the meaning given to it in clause 8.2 of this Undertaking.

**Proposed Purchaser** means a person named in a Proposed Purchaser Notice.

**Proposed Purchaser Notice** has the meaning given to it in clause 6.4 of this Undertaking.

**Public Mergers Register** means the ACCC's public register of merger clearances, available at [www.accc.gov.au](http://www.accc.gov.au).

**Public Section 87B Undertakings Register** means the ACCC's public register of section 87B undertakings, available at [www.accc.gov.au](http://www.accc.gov.au).

**Related Bodies Corporate** has the meaning given to it by section 50 of the *Corporations Act 2001* (Cth).

**Related Entities** has the meaning given to it by section 9 of the *Corporations Act 2001* (Cth).

**Retained Assets** has the meaning given to it in clause 2.9 of this Undertaking.

**Subsidiary** has the meaning given by section 9 of the *Corporations Act*.

**Third Party Consents** means any Consent from any entity that is not a government agency required for the assignment, novation, sale, sub-licensing or transfer of any assets, licences, permits, approval or contracts required for the operation of the Healthscope Divestiture Assets.

**Transaction** means the arrangements entered into by Primary and Healthscope as described in clause 2.7 of this Undertaking.

**Undertaking** is a reference to all provisions of this document, including its schedules and as varied from time to time under section 87B of the Act.

**Undertaking Appointment** means the Approved Independent Auditor or the Approved Divestiture Agent, as applicable.

**Unsold Assets** has the meaning given to it in clause 9.1 of this Undertaking.

## **2 Interpretation**

2.1 In the interpretation of this Undertaking, the following provisions apply unless the context otherwise requires:

- (a) a reference to this Undertaking includes all of the provisions of this document including its schedules;
- (b) headings are inserted for convenience only and do not affect the interpretation of this Undertaking;
- (c) if the day on which any act, matter or thing is to be done under this Undertaking is not a Business Day, the act, matter or thing must be done on the next Business Day;
- (d) a reference in this Undertaking to any law, legislation or legislative provision includes any statutory modification, amendment or re-enactment, and any subordinate legislation or regulations issued under that legislation or legislative provision;
- (e) a reference in this Undertaking to any company includes its Related Bodies Corporate;
- (f) a reference in this Undertaking to any agreement or document is to that agreement or document as amended, novated, supplemented or replaced;
- (g) a reference to a clause, part, schedule or attachment is a reference to a clause, part, schedule or attachment of or to this Undertaking;
- (h) an expression importing a natural person includes any company, trust, partnership, joint venture, association, body corporate or governmental agency;
- (i) where a word or phrase is given a defined meaning, another part of speech or other grammatical form in respect of that word or phrase has a corresponding meaning;
- (j) a word which denotes the singular also denotes the plural, a word which denotes the plural also denotes the singular, and a reference to any gender also denotes the other genders;
- (k) a reference to the words 'such as', 'including', 'particularly' and similar expressions is to be construed without limitation;

- (l) a construction that would promote the purpose - or object - underlying the Undertaking (whether expressly stated or not) will be preferred to a construction that would not promote that purpose or object;
- (m) material not forming part of this Undertaking may be considered to:
  - (i) confirm the meaning of a clause is the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the competition concerns intended to be addressed by the Undertaking and the clause in question; or
  - (ii) determine the meaning of the clause when the ordinary meaning conveyed by the text of the clause, taking into account its context in the Undertaking and the purpose or object underlying the Undertaking, leads to a result that does not promote the purpose or object underlying the Undertaking;
- (n) in determining whether consideration should be given to any material in accordance with paragraph (m), or in considering any weight to be given to any such material, regard must be had, in addition to any other relevant matters, to the:
  - (i) effect that reliance on the ordinary meaning conveyed by the text of the clause would, have (taking into account its context in the Undertaking and whether that meaning promotes the purpose or object of the Undertaking); and
  - (ii) need to ensure that the result of the Undertaking is to completely address any ACCC competition concerns;
- (o) the ACCC may authorise the ACCC Mergers Review Committee, a member of the ACCC or a member of the ACCC staff, to exercise a decision making function under this Undertaking on its behalf and that authorisation may be subject to any conditions which the ACCC may impose;
- (p) in performing its obligations under this Undertaking, Healthscope will do everything reasonably within its power to ensure that its performance of those obligations is done in a manner which is consistent with promoting the purpose and object of this Undertaking; and
- (q) a reference to:
  - (i) a thing (including, but not limited to, a chose in action or other right) includes a part of that thing;
  - (ii) a party includes its successors and permitted assigns; and
  - (iii) a monetary amount is in Australian dollars.



## Schedule 2 – Proposed Purchaser Notice Form

Please note in relation to information given on or in relation to this form, giving false or misleading information is a serious offence.

The completed form with requested documents attached may be provided to the ACCC using the following method:

### Email

Subject line: Proposed Purchaser Notice – Healthscope Undertaking  
Address: [mergers@accc.gov.au](mailto:mergers@accc.gov.au)  
Attention: Executive General Manager - Merger and Authorisation Review Division

With an email copy sent to:

Address: [mergersucu@accc.gov.au](mailto:mergersucu@accc.gov.au)  
Attention: Director, Undertakings Compliance Unit Merger Coordination and Strategy Branch, Merger and Authorisation Review Division

- 1) In relation to the Proposed Purchaser, please provide the following information:
  - (a) Name of the Proposed Purchaser:
  - (b) Address:
  - (c) Contact name:
  - (d) Telephone number:
  - (e) Other contact details:
- 2) Please attach a submission containing the following information to this form:
  - (a) a description of the business carried on by the Proposed Purchaser including the locations in which the Proposed Purchaser carries on its business.
  - (b) details of the Proposed Purchaser's experience in the relevant market/s.
  - (c) the names of the owner/s and the directors of the Proposed Purchaser.
  - (d) details of any of the following types of relationships between Healthscope and the Proposed Purchaser or confirmation that no such relationship exists whether within Australia or outside of Australia:
    - (i) Healthscope and the Proposed Purchaser are Associated Entities;
    - (ii) Healthscope is an Entity Connected with the Proposed Purchaser;
    - (iii) the Proposed Purchaser is an Entity Connected with Healthscope;
    - (iv) Healthscope and the Proposed Purchaser are Related Entities;
    - (v) Healthscope and the Proposed Purchaser are Related Parties;
    - (vi) any Related Party, Related Entity or Entity Connected with Healthscope is a Related Party, Related Entity or Entity Connected with the Proposed Purchaser;

- (vii) Healthscope and the Proposed Purchaser have a contractual relationship or had one within the past three years, other than those attached to this form;
- (viii) the Proposed Purchaser is a supplier of Healthscope or has been in the past three years;
- (ix) Healthscope is a supplier of the Proposed Purchaser or has been in the past three years; and
- (x) any other relationship between Healthscope and the Proposed Purchaser that allows one to affect the business decisions of the other.
- (e) a section addressing the following factors, including any information adverse to the Proposed Purchaser, in the power, possession or control of Healthscope:
  - (i) whether the draft sale and purchase agreement is consistent with this Undertaking;
  - (ii) whether the Proposed Purchaser will complete the transaction as contemplated by the draft sale and purchase agreement;
  - (iii) whether the Proposed Purchaser is of good financial standing;
  - (iv) whether the Proposed Purchaser has an intention to maintain and operate the Healthscope Divestiture Assets as a going concern;
  - (v) whether the Proposed Purchaser is able to operate the Healthscope Divestiture Assets effectively;
  - (vi) whether the divestiture of the Healthscope Divestiture Assets to the Proposed Purchaser will address any competition concerns of the ACCC, including any relationships (including but not limited to shareholding interests, other proprietary interests, contracts, arrangements or understandings) between the Proposed Purchaser and other entities in a relevant market, and the likely long-term viability and competitiveness of the Healthscope Divestiture Assets under the ownership of the Proposed Purchaser; and
  - (vii) any other matters that may affect the Proposed Purchaser's capacity or ability to acquire or operate the Healthscope Divestiture Assets, such as outstanding legal action or disputes.

3) Please also attach to this form

- (a) the finalised draft of the sale and purchase agreement for approval by the ACCC in accordance with this Undertaking.
- (b) any documents required to support the information provided by Healthscope pursuant to this form.

### Schedule 3 – Undertaking Appointments

This form sets out the information required by the ACCC in relation to proposed appointments of the following positions under the Undertaking:

- Independent Auditor; or
- Divestiture Agent;

(the Undertaking Appointments).

Please note in relation to information given pursuant to this form, giving false or misleading information is a serious offence.

Method of Delivery to the ACCC

The completed Undertaking Appointment form, along with the additional requested information is to be provided to the ACCC with the subject line (*proposed* [only include relevant Undertaking Appointment] *Form* – [Healthscope section 87B Undertaking]) to the below email addresses:

1 [mergers@accc.gov.au](mailto:mergers@accc.gov.au)

Attention: Executive General Manager  
Merger and Authorisation Review Division

2 **With a copy sent to:**

[mergersucu@accc.gov.au](mailto:mergersucu@accc.gov.au)

Attention: Director  
Undertakings Compliance Unit  
Coordination and Strategy Branch  
Merger and Authorisation Review Division

#### Information Required

The ACCC requires the following information in order to assess a proposed Independent Auditor or Divestiture Agent (i.e. the relevant Undertaking Appointment).

1) Proposed Undertaking Appointment Details:

- (a) the name of the Proposed Undertaking Appointment; and
- (b) the name of the proposed Undertaking Appointment's employer and contact details including:
  - Address;
  - Contact name;
  - Telephone number;
  - Other contact details.

2) A submission containing the following information:

- (a) details of the Undertaking Appointment's qualifications and experience relevant to his or her proposed role pursuant to the Undertaking.

- (b) the names of the owner/s and the directors of the Undertaking Appointment's employer.
  - (c) details of any of the following types of relationships between Healthscope and [the Undertaking Appointment] or [the Undertaking Appointment's employer] or confirmation that no such relationship exists whether within Australia or outside of Australia:
    - (i) Healthscope and the Undertaking Appointment's employer are Associated Entities.
    - (ii) Healthscope is an Entity Connected with [the Undertaking Appointment's employer].
    - (iii) The Undertaking Appointment's employer is an Entity Connected with Healthscope.
    - (iv) Healthscope and the Undertaking Appointment's employer are Related Entities.
    - (v) Healthscope and the Undertaking Appointment's employer are Related Parties.
    - (vi) any Related Party, Related Entity or Entity Connected with Healthscope is a Related Party, Related Entity or Entity Connected with the Undertaking Appointment.
    - (vii) Healthscope and the Undertaking Appointment or the Undertaking Appointment's employer have a contractual relationship or had one within the past three years, other than those attached to this form.
    - (viii) the Undertaking Appointment's employer is a supplier of Healthscope or has been in the past three years.
    - (ix) Healthscope is a supplier of the Undertaking Appointment's employer or has been in the past three years.
    - (x) any other relationship between Healthscope and the Undertaking Appointment or the Undertaking Appointment's employer that allows one to affect the business decisions of the other.
- 3) A document outlining the terms of appointment for the proposed Undertaking Appointment.

### **Specific Information required for Undertaking Appointments**

The ACCC requires the below information in relation to the relevant Undertaking Appointment.

#### ***Proposed Independent Auditor***

- 1) A finalised draft audit plan for the Healthscope Divestiture Assets, drafted by the Proposed Independent Auditor and outlining (to the extent possible) the Proposed Independent Auditor's plans in regard to the Establishment Audit and the Audit Report.

#### ***Proposed Divestiture Agent***

- 1) The finalised draft asset sale agreement drafted by the Proposed Divestiture Agent in consultation with Healthscope. The draft asset sale agreement is to provide for the divestiture of the Unsold Assets.

2) The Proposed Divestiture Agent's draft marketing and sale plan for the Unsold Assets.

#### Schedule 4 – Healthscope Divestiture Assets

##### Laboratory equipment and other assets

| Instruments                                 |
|---------------------------------------------|
| SYSMEX XT1800i - Haematology Analyser       |
| XE 2100 Analyser - Haematology Analyser     |
| HST SP 1000i Slide Maker/Stainer            |
| Starrsed ESR Analyser                       |
| Sysmex CA560                                |
| Sysmex CS2100i                              |
| Dimension EXL                               |
| Siemens Centaur CP**BB                      |
| Dimension EXL                               |
| Dimension EXL                               |
| Advia 2400                                  |
| Advia 2400                                  |
| Advia Centaur                               |
| Advia Centaur XP                            |
| Advia Centaur XP                            |
| Bactec 9120                                 |
| UX2000                                      |
| Vitek 2                                     |
| CT Advantus                                 |
| I-stat 1 analyser                           |
| Roche Cardiac Reader                        |
| Ortho Biovue                                |
| Integra 800                                 |
| Lecica Coverslipper                         |
| Leica Stainer XL                            |
| Thermofisher Safety Hood                    |
| Cytec Thinprep 2000                         |
| Down draft cut up stations                  |
| Safety Showers                              |
| Thinprep 2000                               |
| IUL Polystainer                             |
| Thermo Fischer MSC-Advantage Safety Cabinet |
| Thermo Fisher Excelsior ES                  |

|                                        |
|----------------------------------------|
| Para Trimmer                           |
| Leica ASP300S Processor                |
| Medites 99 Embedding Centre            |
| Medites 99 Embedding Centre            |
| Fume Cabinet                           |
| Beckman Coulter Centrifuge             |
| Microtec Microtome                     |
| Microtec Microtome                     |
| Microtec Microtome                     |
| Microtec Microtome                     |
| Leica Autostainer XL                   |
| Leica Coverslipper CV5030              |
| Leica Transfer station                 |
| Procyler 9700                          |
| <b>General Laboratory</b>              |
| Labmaster waterbath                    |
| Spintron Centrifuge                    |
| Warming Plate                          |
| Thermometer                            |
| Electronic Clock Timer                 |
| Finnpipette 20 - 200 uL                |
| Finnpipette 0.5-5 mL                   |
| Pipet Lite 2- 200UL                    |
| Roller Mixer                           |
| Hotplate/mixer                         |
| 57°C Dry block Incubator               |
| Warming tray                           |
| O2 Incubator No.1 (Serial no. 10199)   |
| O2 Incubator No.2 (Asset no. HEPG227)  |
| O2 Incubator No.3 (Asset no. HEPG220)  |
| O2 Incubator No.4 (Asset no. HEPG226)  |
| CO2 Incubator No.1 (Asset no. HEPG214) |
| CO2 Incubator No.2 (Asset no. HEPG216) |
| CO2 Incubator No.3 (Asset no. HEPG228) |
| 42°C Incubator (Asset no. HEPG221)     |
| Medites 99 Cold Plate                  |

|                                   |
|-----------------------------------|
| Medites 99 warming tray           |
| Medites 99 Cold Plate             |
| Medites 99 Cold Plate             |
| Medites 99 Cold Plate             |
| Medites Waterbath                 |
| Medites Waterbath                 |
| Medites Waterbath                 |
| Medites Waterbath                 |
| Thermoline Hot Box                |
| Thermoline Hot Box                |
| Medites 99 warming tray           |
| JEIOTECQA QF 126 oven             |
| JEIOTECQA QF 026 oven             |
| 30ltr Corrosive Cabinet           |
| Microwave r 380L (Lab)            |
| Ivac Vacuum                       |
| Weigh Balance AND GX-400          |
| Weigh Balance 3000g x 0.1g        |
| Weigh Balance 440g x 0.1g         |
| Wide Range Electronic Thermometer |
| Wide Range Electronic Thermometer |
| Wide Range Electronic Thermometer |
| Wide Range Electronic Thermometer |
| Wide Range Electronic Thermometer |
| Digital Timer 1                   |
| Digital Timer 2                   |
| Digital Timer 3                   |
| Digital Timer 4                   |
| Digital Timer 5                   |
| Digital Timer 6                   |
| Digital Timer 7                   |
| Digital Timer 8                   |
| Digital Timer 9                   |
| Digital Timer 10                  |
| Digital Timer 11                  |
| Digital Timer 12                  |



|                                          |
|------------------------------------------|
| Spintron small centrifuge                |
| Digital Timer                            |
| Digital Scales                           |
| Vortex Mixer                             |
| Ratek Roller Mixer                       |
| Safety Hood                              |
| Bactec                                   |
| Lockers                                  |
| Eppendorf Centrifuge 5810 R              |
| <b>Microscopes</b>                       |
| Microscope OLYMPUS BX43                  |
| Microscope Olympus BX41                  |
| Microscope Olympus BX45                  |
| Microscope Olympus BX51                  |
| Microscope Olympus BX43                  |
| Microscope Olympus BX45                  |
| Microscope Olympus BX43                  |
| Microscope Olympus BX41- Double Header   |
| Microscope BX41                          |
| Microscope BH2                           |
| Olympus Microscope BX41                  |
| Olympus Microscope BX51                  |
| Olympus Microscope BX51                  |
| Olympus Microscope BX41                  |
| Olympus Microscope CHS(CH-2)             |
| Olympus Microscope BX41                  |
| Olympus BX41 Microscope                  |
| Olympus BX45 Microscope                  |
| Olympus BX53 Microscope Multiheader (10) |
| <b>Furniture</b>                         |
| Lab chairs x 3                           |
| Data Projector                           |
| <b>Laboratory Fridge/Freezers</b>        |
| Reagent Thermoline fridge                |
| Reagent Samsung Fridge Freezer           |
| Spec fridge                              |

|                                                    |
|----------------------------------------------------|
| PYE Bar Fridge                                     |
| Hisense Fridge                                     |
| Stand Alone Freezer                                |
| Stand Alone Fridge                                 |
| Bar Freezer                                        |
| <b>Staff Room Fridge/Freezer</b>                   |
| Fridge/freezers – staff room x 3                   |
| <b>Non-utilised items</b>                          |
| Melite Tissue Stainer COT 20                       |
| 3 X Skope Fridges                                  |
| Histology cut up area fume cabinet stainless steel |
| B/R Instrument Corp – Formalin recycler            |
| Sigma Refrigerated Centrifuge                      |
| 2 X Stainless steel histo cut up bench             |
| Orford – 2 door glass fridge                       |
| Albany Stainless steel 2 door glass fridge         |
| Labmaster CO2 incubator                            |
| Diamed ID incubator 37 SI                          |
| Diamed ID centrifuge 12 SII                        |
| Ratek Water Bath                                   |
| 3 X Boxes of Thermo sliding drawer racks in boxes  |
| Arrowsmith & Grant – Blood bank fridge             |
| Tissue Tek GLAS – Coverslipper                     |
| 1 X Tissue Tek DRS2000 – Stainer                   |
| 2 X 250 litre Flammable cabinets                   |
| IL GEM 4000 Blood gas analyser                     |
| Cool room                                          |
| <b>IT Equipment - Misc</b>                         |
| Zebra Printer x 2                                  |
| TLP2844-Z Zebra Label Printer                      |
| Kodak Scanner 11420                                |
| <b>Other items</b>                                 |
| Compressor                                         |
| Water System                                       |
| Laminar flow cabinet                               |

Generator

| Motor vehicles    |              |
|-------------------|--------------|
| Model             | Registration |
| Mitsubishi Colt   | 175LQW       |
| Mitsubishi Colt   | 797RFB       |
| Mitsubishi Colt   | 172KZN       |
| Mitsubishi Colt   | 962MRB       |
| Mitsubishi Colt   | 095RFY       |
| Mitsubishi Colt   | 497JMU       |
| Mitsubishi Colt   | 795RFB       |
| Hyundai I30       | 312RGC       |
| Mitsubishi Colt   | 814KTK       |
| Mitsubishi Colt   | 434LLT       |
| Mitsubishi Colt   | 796RFB       |
| Mitsubishi Colt   | 499JMU       |
| Mitsubishi Colt   | 032MZF       |
| Mitsubishi Colt   | 498JMU       |
| Mitsubishi Colt   | 033MZF       |
| Mitsubishi Colt   | 225KCF       |
| Mitsubishi Colt   | 107LHK       |
| Mitsubishi Lancer | 540LMA       |
| Mazda 2           | 475SVZ       |
| Mitsubishi Colt   | 533KES       |
| Mazda 2           | 476SVZ       |
| Mazda 2           | 477SVZ       |
| Mazda 2           | 474SVZ       |
| Mitsubishi Colt   | 043LUS       |
| Mazda 2           | 473TCM       |
| Mazda 2           | 498TCM       |
| Mazda 6           | 499TCM       |
| Mazda 2           | 798TGZ       |
| Hyundai I30       | 417RLS       |
| Mazda 2           | 875TWS       |
| Mazda 2           | 299VGG       |
| Mazda 2           | 301VGG       |

|         |        |
|---------|--------|
| Mazda 2 | 355VGG |
|---------|--------|

**Confidential Schedule 5**